

Business Data Management (Part - 6)

B2B Professional Selling — Steps 1 & 1A/1B

7 Steps of Professional Selling

1. Prospecting
2. Approach
3. Needs Analysis
4. Offer/Pitch
5. Objection Handling / Negotiation
6. Conclusion
7. After-Sales

Why pyramid-shaped?

As the selling process moves upward, the **number of potential customers decreases**.

1. Prospecting

Meaning:

Prospecting is the process of **finding potential customers** for a business.

- Mainly done by the **Marketing Department**.
- Every business needs customers to survive.
- Prospecting uses:
 - **Inbound Marketing**
 - **Outbound Marketing**

Inbound Marketing

Company does NOT chase customers → Customers are attracted to the company.

Usually stronger brands rely more on inbound marketing.

Examples of activities:

- Strong brand reputation
- Detailed company/product website

- **SEO** (Search Engine Optimization)
 - Product comparisons
 - Customer reviews
 - Verified-purchase reviews
 - Easy contact options
- Strong brands: roughly
80% inbound + 20% outbound.

Outbound Marketing

Company actively chases/reaches customers.

Common for weaker/newer brands that need to create awareness.

Examples:

- Email campaigns
 - Marketing automation
 - Discounts
 - Promotions
 - Awareness campaigns
- Weaker brands: roughly
80% outbound + 20% inbound.

1A. Targeting

After prospecting, the **Sales Department** takes over.

Meaning

Targeting means **narrowing down/funneling the large group of potential customers** into a smaller, more serious group.

BAT → Important for Exam

Targeting is done using **BAT**:

B = Budget → Do they have the money?

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A = Authority → Can we access the **DMU (Decision-Making Unit)**?

N = Needs → Do they actually need the product/service?

T = Time Frame → Do they plan to buy within the required time?

Example

Suppose prospecting identifies

1,000 B2B customers:

1,000 → 300 → 200 → 120 → 20

Stage	Customers
Prospecting	1,000
Budget	300
Needs	200
Authority	120
Time Frame	20

So, the final **20 customers are more serious prospects.**

⚠ **Important:** Even after targeting, we **cannot guarantee that these 20 will buy.**

1B. Pre-Approach

Before actually meeting the customer, the salesperson does **background research.**

Meaning

Pre-approach = **collecting information about the customer before the face-to-face meeting.**

What to research?

- Key members of the **DMU**
- Company
- Products/services
- Portfolios
- Mission & vision

- Current problems/issues
- Potential suppliers
- Key people and their roles

Sources

- Company website
- Social media / LinkedIn
- Newspapers
- Magazines
- Friends and extended network
- Other available secondary data

Purpose

Be prepared → understand the customer → create a good impression → have a more effective meeting.

★ Quick Revision

Prospecting → Targeting → Pre-Approach → Approach

Prospecting: Find potential customers

↓

Targeting: Filter customers using **BAT**

↓

Pre-Approach: Research the customer before meeting

↓

Approach: Meet the customer

Must Remember

BAT = Budget + Authority + Needs + Time Frame

Inbound: Customer → Company

Outbound: Company → Customer

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Marketing → Prospecting

Sales → Targeting

DMU = Decision-Making Unit

Targeting reduces the customer pool, but does NOT guarantee a sale.

B2B Professional Selling — Step 2: Approach

Approach

Meaning:

The salesperson meets the customer face-to-face for the first time.

3 Modes of Approach

1. **Offline** → Meet at customer's premises.
2. **Online** → Zoom, Microsoft Teams, Google Meet, Webex, etc.
3. **Hybrid** → Combination of online + offline.

✍ B2B selling increasingly uses online/hybrid meetings, but **face-to-face interaction remains important**.

PSP Technique

The approach process follows **PSP**:

P = Polite

S = Sympathetic

P = Professional

1. Polite

Follow proper business etiquette:

- Briefly introduce yourself.

- Say "My name is..." or "I am..."

- Avoid saying "Myself..."

- Wear **formal, neat attire**.
- Give a **gentle smile**.
- Give a **firm but gentle handshake**.
- Maintain **eye contact** → shows confidence.
- Avoid shaking hands with **wet/sweaty palms**.
- **Ask permission before sitting**.
- Ask permission before **taking notes**.

2. Sympathetic

Use appropriate **openers** to create a comfortable relationship.

Three Types of Openers

1. Introductory Opener

- Introduce yourself and explain why you are there.

2. Referral Opener ★

- Mention a **mutual contact/reference**.
- Example: *"I got to know about you through Aditya."*
- A referral can create greater initial interest/trust.

3. Complimentary Opener

- Give a **genuine compliment** about the company, achievement, award, etc.
- Never give random or false compliments.

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Avoid These 3 Topics

Family + Politics + Religion

- Don't initiate discussions about them.
- People may have different cultural/personal views.
- If the customer asks, respond briefly and appropriately.

3. Professional

Set an Agenda

Clearly explain what you plan to discuss.

Example:

**"In the next 15 minutes,
I would like to
discuss..."**

This keeps the meeting focused.

Identify DMU Indirectly ★

Don't directly ask:

✗ *"Are you the decision-maker?"*

Instead ask:

✓ *"Do you think anybody else
would benefit from today's
meeting?"*

This helps identify whether **all relevant DMU members** are present without being impolite. If important DMU members are absent, consider scheduling the meeting when they can participate.

Time Management

Don't spend too much time on PSP.

- **Polite + Sympathetic:** ~5–8 minutes
- **Professional:** ~6–10 minutes

The main objective is to move toward **understanding customer needs**, which is covered in **Needs Analysis**.

★ Exam Cheat Sheet

Concept	Key Point
Approach	First face-to-face meeting
Modes	Offline, Online, Hybrid
Technique	PSP
P	Polite
S	Sympathetic
P	Professional
Polite	Introduction, formal attire, smile, handshake, eye contact, permission
Sympathetic	Openers
Openers	Introductory, Referral, Complimentary
Referral	Use a mutual connection
Complimentary	Genuine praise
Avoid	Family, Politics, Religion
Professional	Set agenda
DMU	Decision-Making Unit
DMU identification	Ask indirectly
Goal	Move toward

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Concept	Key Point
	needs analysis

Complete Flow

Marketing: Prospecting



Sales: Targeting (BAT)



Pre-Approach: Research customer/company/DMU



Approach: PSP



Needs Analysis

STEP 3 — NEEDS ANALYSIS

1. Meaning

Needs Analysis = The process where a salesperson **understands/uncover the customer's needs by asking questions.**

🎯 **Main objective:** Identify the **core/key needs** of the customer so the salesperson can recommend the right product/service.

Needs Analysis is one of the most critical steps in B2B selling.

2. 80/20 Rule

During Needs Analysis:

- 👤 **Customer speaks → 80%**
- 📁 **Salesperson speaks → 20%**

Why?

The salesperson should **listen more**

and ask the right questions to understand the customer's needs.

3. SPIN SELLING

SPIN is a popular technique used to uncover customer needs.

Letter	Meaning	Purpose
S	Situation	Understand current situation
P	Problem Identification	Identify problems/issues
I	Implications	Understand negative consequences
N	Needs Payoff	Show value of solving the problem

SPIN Flow

Situation → Problem →

Implications → Needs Payoff

Alternative: ADAPT

ADAPT is another terminology for essentially the same process:

- **A** → Assessment
- **D** → Problem Discovery
- **A** → Activation
- **P** → Projection
- **T** → Transition

For exams, remember **SPIN** as the preferred/popular terminology.

4. Types of Questions

A. Open-Ended Questions (OE)

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Questions where the answer is **subjective and more than just Yes/No.**

Example:

"What do you like about the IIT Madras BS program?"

✓ Used to **start the conversation** and gather information.

B. Probing Questions

Questions asked **based on the customer's previous answer** to an open-ended question.

🔗 Purpose: **Probe deeper and identify the core need.**

Example:

OE:

"What do you like about the program?"

Customer:

"We learn many new tools."

Probing:

"Can you tell me more about the tools you learn?"

✓ Answers are generally subjective.

C. Closed-Ended Questions

Questions whose answers are generally **Yes/No.**

🔗 Mainly used to **close/end a conversation or confirm agreement.**

Example:

"Would you be willing to discuss this further?"

Answer → **Yes / No**

D. Double-Barrelled Questions ✗

A question containing **two questions/issues in one.**

Example:

"Do you like BDM theory or BDM project?"

Problem: A "Yes/No" answer does not tell you **which one** the customer likes.

How to fix it:

Break into two questions:

1. "Do you like BDM theory?" → Yes/No
2. "Do you like the BDM project?" → Yes/No

OR use a **preference-based question:**

"Do you prefer BDM theory or BDM project?"

Remember:

Double-barrelled questions → Avoid ✗

5. Questions Used in SPIN

SPIN Stage	Main Objective	Questions
S — Situation	Understand current situation	OE + Probing OE
P — Problem	Identify problems/issues	OE + Probing OE
I — Implication	Find negative consequences	OE + Probing

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ns		OE
N — Needs Payoff	Confirm willingness/value	Closed-ended

Very Important ★

S + P + I → Open-ended + Probing questions

N → Closed-ended question

6. S — Situation

🎯 **Objective:** Understand the customer's **current situation**.

Don't directly ask:

✗ "What are your needs?"

Instead ask:

"Can you tell me about your company's current situation?"

Then use probing questions based on their answer.

Why?

- Understand the customer better.
- Check whether your **pre-approach research** was accurate/aligned.
- Build a foundation for identifying problems.

7. P — Problem Identification / Discovery

🎯 **Objective:** Identify the **issues/problems** faced by the customer.

Example:

Open-ended:

"What issues are you facing due to these technological challenges?"

Probing:

"How does this impact your business?"

Again:

OE → Customer answer → Probing OE

8. I — Implications

Meaning

Implications = Negative consequences of not solving a problem.

Focus on measurable/business consequences such as:

- Loss of profit
- Customer churn/defection
- Reduced sales
- Increased costs
- Business impact

Example:

"What is the impact of these issues on your business and profits?"

Then:

"What happens if this problem is not solved?"

🎯 **Goal:** Make the customer understand the **seriousness of the problem**.

9. N — Needs Payoff

After identifying the customer's pain points, move to **Needs Payoff**.

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Example:

"If we have a solution for your problem, would you be willing to discuss it further?"

Answer → **Yes / No**

🎯 Purpose:

- Confirm customer interest.
- Move the customer to the **next stage: Offer/Pitch.**

⚠️ **Important**

At Needs Payoff:

✗ Do NOT discuss product details extensively.

✗ Do NOT reveal pricing.

Why?

Because **product/service + pricing discussion belongs mainly to Step 4: Offer/Pitch.**

10. Why Needs Analysis Is Important

Proper Needs Analysis helps the salesperson:

1. Identify the **core customer need.**
2. Recommend the **right product/service.**
3. Avoid giving irrelevant solutions.
4. Increase customer satisfaction.
5. Create opportunities for **upselling.**
6. Create opportunities for **cross-selling.**

Upselling

Selling a **higher-value/better version.**

Example:

Customer plans ₹60,000 laptop → salesperson recommends ₹70,000 better laptop.

Cross-selling

Selling **additional related products/services.**

Example:

Laptop + accessories + insurance.

11. B2B Importance: Bespoke Solutions

B2B products/services are often **bespoke = customized.**

Therefore, understanding the customer's exact needs is especially important.

Wrong needs analysis → Wrong recommendation → Customer dissatisfaction → Possible no sale

★ EXAM CHEAT SHEET

Needs Analysis

Step 3 → Understand customer needs by asking questions 80/20

Customer = 80% speaking

Salesperson = 20% speaking

SPIN

S → Situation

P → Problem Identification

I → Implications

N → Needs Payoff

Question Types

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Open-ended

- Subjective answer
- Used to start/gather information

Probing

- Based on previous answer
- Goes deeper → Finds core need

Closed-ended

- Yes/No
- Mainly for confirmation/closing

Double-barrelled

- Two questions/issues together
- ✗ Avoid
- Break into separate questions OR use preference-based question

SPIN Question Pattern

Situation → OE + Probing OE

Problem → OE + Probing OE

Implications → OE + Probing OE

Needs Payoff → Closed-ended

Complete Selling Process

Prospecting → Targeting → Pre-

Approach → Approach → NEEDS

ANALYSIS → Offer/Pitch →

Objection Handling/Negotiation →

Conclusion → After-Sales

Step 4: Offer / Pitch

1. Meaning

Offer/Pitch = Presenting the right product/service to the customer **after understanding their needs** in Step 3 (Needs Analysis).

2. 80/20 Rule

Stage	Who speaks more?
Needs	Customer 80% ,

Stage	Who speaks more?
Analysis	Salesperson 20%
Offer/Pitch	Salesperson 80% , Customer 20%

The 80/20 rule is a general guideline, not a strict rule.

3. Main Technique: FAB / SAB

For Products → FAB

- **F – Features:** Characteristics of the product
- **A – Advantages:** What the features provide
- **B – Benefits:** How the advantages help the customer

For Services → SAB

- **S – Solutions**
- **A – Advantages**
- **B – Benefits**

For Products + Services → FABS

4. Correct Pitch Sequence

Customer Needs → Features →

Advantages → Benefits

Each part must be connected:

Needs

↓

Features → characteristics of product

↓

Advantages → what the features do

↓

Benefits → how it helps the customer

5. Example: Laptop

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Customer Needs:

- Faster laptop
- Efficient performance
- Good battery
- Portability

Features:

- 16 GB RAM
- 1 TB SSD
- Powerful processor
- 13-inch size
- Lithium-ion battery

Advantages:

- Faster performance
- Quick data access
- Easy to carry
- Longer battery life

Benefits:

- Higher productivity
- Less frequent replacement
- Better convenience
- Reduced physical strain from carrying a heavy laptop

6. Most Important Rule

Never start the pitch directly.

First **state and confirm the customer's needs**, then present your solution.

Example:

"You mentioned that you need a laptop that is fast, portable, and has long battery life. Is that correct?"

This is a **closed-ended confirmation question**.

Then begin the **FAB/SAB pitch**.

7. Why State Needs First?

It shows the customer:

"I understood your problem → My product/service solves that problem."

Without connecting the pitch to customer needs, the customer may not understand **why the product is suitable**.

Doctor analogy:

A doctor understands your symptoms first → then prescribes medicine.

Similarly, a salesperson understands customer needs first → then offers the appropriate solution.

★ Exam Cheat Sheet

Step 4 = Offer/Pitch

Purpose: Present solution based on identified needs.

Rule:

Needs Analysis → Customer 80% speaking

Offer/Pitch → Salesperson 80% speaking

Techniques:

- Product → **FAB**
- Service → **SAB**
- Product + Service → **FABS**

Sequence:

Needs → Features → Advantages → Benefits

Key point:

State + confirm customer needs BEFORE pitching.

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Step 5: Objections Handling / Negotiation

1. Meaning

Step 5 = Objections Handling / Negotiation

After the salesperson presents the offer, the customer may:

- Raise doubts or objections → **Objections Handling**
- Agree with the offer → **Negotiation / Closing**

The main goal is to **convert customer objections into no objections.**

2. Why Do Customers Raise Objections?

Customers may object because:

1. They **do not agree** with the salesperson's claims.
2. They want to **test the salesperson's response.**
3. They **do not actually have a need.**
4. Their **existing product already meets their needs.**
5. They had a **bad previous experience** with the product/company.
6. They think the **price is too high.**
7. They genuinely need **more time to decide.**

3. Five Major Types of Objections

Objection	Meaning	Basic Response
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Objection	Meaning	Basic Response
1. No Need	Customer says they don't need it	Understand the reason → clarify → don't force
2. Product/Service	Customer doubts the product/service	Understand concern → explain improvements → offer trial
3. Company	Customer doesn't trust/like the company	Acknowledge concern → rebuild trust with evidence
4. Price Too High	Customer feels cost is high	Focus on value + benefits , not just discount
5. Time/Delay (Stall)	Customer wants more time	Ask for a specific/concrete timeline

4. How to Handle Each Objection

A. No Need

Customer: "**We don't need this.**"

Do:

- Ask **why**
- Clarify the reason
- Find out whether their needs have changed

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- Explain only if clarification is needed
- If they still don't need it → **don't push**
- Thank them and leave professionally
- Ask for referrals if appropriate

Key: Understand the reason before responding.

B. Product / Service Objection

Customer: "**We used your product before and had a bad experience.**"

Response:

1. Acknowledge the problem.
2. Accept the customer's concern.
3. Explain what has been improved.
4. Offer a **trial/pre-trial**.

Goal: Give the customer evidence that the previous problem has been addressed.

C. Company Objection

Customer may not trust the company because of:

- Previous scandals/problems
- Poor reputation
- Lack of trust

Response:

- Don't ignore or deny the concern.
- Acknowledge it.
- Provide evidence of improvements.

- Use **customer testimonials / third-party proof**.
- Rebuild trust gradually.

D. Price Is Too High 💰

This is the **most common objection**.

✗ Don't immediately focus on giving discounts.

Instead:

Shift attention from COST → VALUE

Show:

- Benefits
- Value created
- Quality
- Long-term advantages
- Customer success stories

Simple idea:

Higher price can be justified when the customer clearly sees higher value.

E. Time / Delay Objection — STALL

Customer:

"We need some time to think."

This may be:

- A genuine need for more time
- A delay tactic
- Part of the B2B decision-making process

Best response:

Ask for a **concrete timeline**.

Example:

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"Would it be okay if I follow up with you after one month?"

This helps determine whether there is a genuine future opportunity.

5. LARK Technique ★

The main objection-handling process is **LARK**:

L → Listen

Listen carefully to the customer's objection.

A → Acknowledge

Show that you have understood their concern.

R → Respond

Think first, then respond using **facts and figures**.

K → Confirm

Confirm whether the objection has been resolved.

Flow:

Listen → Acknowledge → Think → Respond with Facts/Figures → Confirm

6. Other Objection-Handling Techniques

① Customer Testimonials

Also called:

- **Customer feedback**
- **Third-party reinforcement**

Use:

- Previous customer experiences
- Success stories
- Case studies

- Testimonials

Why?

Customers trust evidence from other customers, not just claims made by the salesperson.

② Forth-Stall

Forth-stall = salesperson addresses the expected objection BEFORE the customer raises it.

Example:

"I understand that you may feel our product is expensive. Let me explain the value you receive."

This prevents the objection from becoming a surprise later.

③ Feel–Felt–Found (FFF)

Used to show empathy and provide social proof.

Feel:

"I understand how you feel."

Felt:

"Other customers felt the same way."

Found:

"After using our product, they found that it saved time and cost."

Formula:

I understand how you FEEL → Others FELT the same → They FOUND the solution valuable.

7. Negotiation: ZOPA & BATNA

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Sometimes the customer is satisfied with the pitch and goes directly to negotiation.

ZOPA

ZOPA = Zone of Possible

Agreement

It is the range where **both buyer and seller can agree**.

Example:

- Seller's minimum acceptable price = ₹2 lakh
- Buyer's maximum acceptable price = ₹1.5 lakh

If both eventually agree at ₹1.7 lakh, that agreement represents a negotiated point within the possible bargaining range.

Important: A true ZOPA exists only when the buyer's maximum is at least as high as the seller's minimum.

BATNA

BATNA = Best Alternative to a Negotiated Agreement

It means the **best alternative available if the current negotiation fails**.

Example:

You negotiate with Seller A, but no agreement is reached.

You then choose Seller B because Seller B offers the best alternative.

ZOPA works → Agreement possible

No ZOPA → Use BATNA / alternative

8. B2B and Alternatives

In **B2B**, alternatives may be fewer than in B2C.

Fewer alternatives → **Higher switching cost**

Therefore, customers may negotiate more carefully and take longer to make decisions.

★ Final Exam Cheat Sheet

Step 5 = Objections Handling / Negotiation

Main Objective:

Customer Objection → No

Objection → Higher chance of Sale

5 Objections:

N → P/S → C → P → T

- **N** = No Need
- **P/S** = Product/Service
- **C** = Company
- **P** = Price Too High
- **T** = Time/Delay (Stall)

Main Technique:

LARK

Listen → Acknowledge

→ Respond → Confirm

Other Techniques:

- **Testimonials** → Third-party reinforcement
- **Forth-Stall** → Address objection before customer raises it
- **FFF** → Feel → Felt → Found

Negotiation:

- **ZOPA** = Zone of Possible Agreement

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- **BATNA** = Best Alternative to a Negotiated Agreement

Most Important:

Never fight the customer's objection. Understand it, address it with evidence, and confirm whether it is resolved.

Steps 6 & 7: Conclusion / Closure + After-Sales

◇ **Step 6: Conclusion / Closure**

Meaning:

Closing the deal after the customer's needs, pitch, objections, and negotiations have been completed.

Goal: Get the customer's **commitment/decision** to purchase.

Objections handled →

Customer ready →

Closing question →

Decision

⚠ **Important:** A closure does **not always guarantee a sale**. In B2B, **jilting** can occur—the customer may show positive signals, negotiate, test the product, but still decide not to buy.

1. Four Closing Methods

A. Direct / Assumptive Close

Used when:

- Objections have been handled.
- Customer gives positive signals.

- Customer has no further questions.

Then directly ask:

"Do we have a deal?"

Assumption: Customer is ready to buy.

B. Buy Now Method

Create a **genuine sense of urgency** to encourage immediate purchase.

Examples:

- Limited stock
- Expected price increase
- Limited-time additional benefits
- Free/add-on service for immediate purchase

⚠ **Never create false urgency or give false information.**

C. Alternative Choice Method

Give the customer **options** instead of asking only "buy or not?"

Examples:

- Option A: 50% cash + 50% cheque
- Option B: Different delivery dates
- Option C: Different service packages

Idea:

Give choices → Make decision easier

D. Summary Method ★

Most popular B2B closing method.

Summarize the entire discussion:

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**Customer Need → Pitch →
Objections → Solutions → Final
Value**

Then ask:

"Does this summarize
everything we
discussed?"

"Is there anything else
you need?"

"Are you ready to make
a decision?"

The customer then evaluates the
information and makes a decision.

2. What to Do After Asking the Closing Question?

Don't rush.

Give the customer time to think.

If they need more time:

➡ Ask for a **concrete timeline** for
the next follow-up.

3. If Customer Says YES ✓

After the customer agrees:

1. **Recommend an action plan**
2. **Explain how the execution
will happen**
3. **Reassure them that they made
the right choice**
4. **Create a follow-up plan**
5. **Thank the customer**

4. If Customer Says NO ✗

Don't become rude or pushy.

Instead:

- Thank them for their time.
- Maintain a good relationship.

- Ask whether they can
**recommend you to someone
else.**

This is called **Snowballing**.

Snowballing:

**One customer → Referral → New
prospect → Potential new
customer**

So, No Sale ≠ No Opportunity.

◇ Step 7: After-Sales

Meaning

After-sales means **supporting and
maintaining the customer
relationship after the purchase.**

This is especially important in **B2B**
because relationships are long-term.

1. Why After-Sales Is Important?

After purchase, customers may face:

- Product problems
- Service problems
- Support issues
- Performance issues

A salesperson/company must
respond and solve problems.

**Selling is not the end of
the relationship.**

2. Regular Customer Contact

In B2B, maintain regular
communication with customers.

Check:

- Are they satisfied?
- Is the product working
properly?
- Are they facing problems?

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- What can be improved?

3. Customer Feedback

Use:

- Feedback
- Satisfaction surveys
- Regular follow-ups
- Customer complaints

This helps identify:

**Customer Satisfaction → Problems
→ Improvements → Future Opportunities**

4. Post-Usage Performance Review

After using the product/service, the customer evaluates its performance.

If the customer is **not satisfied** → **future purchase is unlikely.**

Therefore, proactive follow-up is important.

5. Complaints & Service Recovery

When a customer complains:

Listen → Apologize if necessary → Fix the problem → Restore satisfaction

If there is a mistake:

- Accept responsibility.
- Apologize.
- Correct the problem.
- Compensate if appropriate.

This is called **restoration/service recovery.**

6. After-Sales Creates New Opportunities

Customer interaction can reveal opportunities for:

Upselling

Selling a **higher-value/better version.**

Cross-selling

Selling **additional related products/services.**

★ Complete 7-Step B2B Selling Process

Step	Process	Key Concept
1	Prospecting	Find potential customers
2	Targeting	BANT → Budget, Authority, Need, Time frame
3	Needs Analysis	SPIN + 80/20
4	Offer/Pitch	FAB/SAB
5	Objections/Negotiation	LARK , ZOPA, BATNA
6	Conclusion/Closure	Closing methods
7	After-Sales	Support, feedback, recovery

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One-line flow to remember

- Prospect → Target →
Understand Needs → Pitch →
Handle Objections → Close →
Maintain Relationship
- Closing Methods — Remember:
- Direct + Buy Now + Alternative
Choice + Summary
- Best B2B closing method →
Summary method
- After-sales goal → Customer
satisfaction + retention + future
sales

Service Failure & Recovery

1. Service Characteristics

Services have four important characteristics:

Characteristic	Meaning
Intangibility	Cannot be seen, touched, smelled, or sensed before consumption
Heterogeneity	No two service experiences are exactly the same
Inseparability	Production and consumption happen simultaneously
Perishability	Services cannot be stored/inventoried

2. Service Failure

Definition

A service failure occurs when:

1. Service falls **below the customer's minimum/adequate expectation**, OR
2. There is an **error or mistake in service provision** that causes customer dissatisfaction.

Important

- Service failures are generally **unintentional**.
- Even with the best efforts, no service is perfect.
- Failure → customer becomes **angry, sad, disappointed, or dissatisfied**.

Examples

- Flight cancellation
- Rude staff
- Defective product
- Delivery delay
- Wrong food/product delivered
- ATM/credit card not working
- Poor-quality food

3. Zone of Tolerance (ZOT)

Zone of Tolerance = range between Adequate Level and Desired Level of Service.

Three levels

Desired Level ↑

→ Customer is **delighted** 😊

Zone of Tolerance

→ Customer is **satisfied** 😊

Adequate Level ↓

→ Minimum acceptable service

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Below Adequate Level

→ **Service Failure** → **Dissatisfaction**



Adequate Level of Service

The **minimum level of service the customer is willing to accept.**

If service falls below it →

dissatisfaction/service failure.

Example:

- Flight should depart/arrive on time
- Correct seat should be provided
- Seat should function
- Baggage should arrive on time

Desired Level of Service

The level of service the customer **believes could or should be delivered.**

If delivered → **Customer Delight.**

Examples:

- Very polite and empathetic staff
- Faster baggage delivery than expected
- Slightly extra baggage allowance
- Better-than-expected meal/service

4. Why Data Scientists Need to Understand Service Failure

Service-failure data can help organizations:

- Understand **customer defection/churn**
- Identify causes of failures

- Improve business processes
- Improve customer satisfaction
- Empower employees
- Analyze customer opinions using **sentiment analysis**
- Identify positive, negative, and neutral customer sentiment

5. What Happens After a Service Failure?

Basic Flow

Service Failure



Customer becomes dissatisfied



Customer **complains**



Moment of Truth



Service provider performs **Service Recovery**



Customer evaluates **Justice**



Satisfaction / Dissatisfaction

6. Moments of Truth

Moment of Truth = the point when the dissatisfied customer interacts with the service provider to complain about the failure.

Complaints can happen through:

- Customer care
- Social media
- Online channels
- Offline channels

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7. Service Recovery

Definition

Service recovery is the action taken by the service provider after a service failure to:

- Calm/pacify the customer
- Resolve the problem
- Restore justice
- Bring the customer back to satisfaction

Types

Reactive Recovery

- Most common
- Customer complains → company responds

Proactive Recovery

- Company informs/acts **before the customer complains.**

Example: Bank informs customers in advance about temporary net-banking downtime.

8. Service Recovery Mechanisms

Mechanism	Meaning	Justice
Apology	Say sorry for the problem	Interactional
Empathy	Show understanding of customer's feelings	Interactional
Root Cause Exploration	Understand what actually happened	Procedural
Restoration	Replace/fix	Distributive

Mechanism	Meaning	Justice
Response Speed	Resolve problem quickly	Procedural
Compensation	Monetary/other compensation when appropriate	Distributive
No Recovery	No recovery when provider is not responsible	Procedural

Important

Compensation is optional, not required for every service failure. Recovery also has a cost, so compensation should be used appropriately.

9. Justice Theory ★

After service recovery, the customer evaluates whether **justice has been restored**.

Justice Theory has **3 dimensions**:

1. Distributive Justice (DJ)

Customer's perception of the **outcome received**.

Mainly related to:

- Money
- Replacement
- Compensation

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- What customer actually received

Question: *"Did I get a fair outcome?"*

2. Procedural Justice (PJ)

Customer's perception of the **procedure/process used**.

Examples:

- Was the correct procedure followed?
- Was the issue resolved within the promised time?
- Was the process fair and efficient?

Question: *"Was the process fair?"*

3. Interactional Justice (IJ)

Customer's perception of **how they were treated**.

Examples:

- Polite behavior
- Respect
- Empathy
- Proper communication

Question: *"Was I treated properly?"*

10. Easy Way to Remember Justice

Theory

DJ = Outcome

What did I get?

PJ = Process

How was it handled?

IJ = Interaction

How was I treated?

👉 **Outcome + Process + Treatment = Justice**

11. All Three Must Be High ★

For successful recovery:

High DJ + High PJ + High IJ



Customer Satisfaction



Customer Loyalty



Positive Word of Mouth



Higher Repurchase Intention

Example

Amazon:

- Product replaced → **DJ high**
- Replaced within promised 2 days → **PJ high**
- Executive speaks politely → **IJ high**

➡ Customer becomes satisfied.

12. Double Deviation ★ ★ ★

Meaning

Double deviation = second service failure after the customer has already complained about the first failure.

Example:

1. Customer receives defective phone → **First service failure**
2. Customer complains
3. Company promises replacement in 2 days
4. Replacement arrives late/defective OR customer is treated badly

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5. → **Second service failure =**

Double deviation

Effect of Double Deviation

Double Deviation

↓

Higher customer dissatisfaction

↓

Lower customer loyalty

↓

Negative word of mouth ↑

↓

Repurchase intention ↓

It is especially damaging because the customer **gave the company a chance to fix the problem, but the recovery also failed.**

Service Failure & Recovery

1. Overall Service Failure Process

Service Failure → Customer

Complaint → Service Recovery →

Justice Perceptions → Outcomes

If justice perceptions are **high**:

→ Customer Satisfaction

If recovery is poor / justice

perceptions are **low**:

→ **Second Service Failure / Double Deviation**

→ Greater Dissatisfaction

2. Who Complains?

Customer response	Approx. %
Complain to top management	1–5%
Reach out to frontline employees/company	~45%

Customer response	Approx. %
Do not complain	~50%

Many dissatisfied customers simply leave without complaining.

3. Types of Service Failure ★

There are **3 types**:

A. Outcome Failure

Failure of the core service itself.

The promised service is **not provided**.

Effect: Economic/financial loss.

Examples:

- Flight cancelled
- Delivery not provided/delayed causing financial loss
- Software deployment failure

Memory:

Outcome = Service itself failed

B. Process Failure

Deficiency/shortcoming in service delivery.

The service is provided, but the

process of delivering it is flawed.

Effect: Mainly social loss, such as humiliation or frustration.

Examples:

- Rude employee
- Impolite behavior
- Small billing error

Memory:

Process = How the service was delivered failed

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C. Outcome + Process Failure

Both the **service itself fails AND the delivery process fails.**

This is particularly **salient/dangerous in B2C.**

Example:

- Flight cancelled (**outcome failure**)
- No information about alternative/rescheduled flights (**process failure**)

Another example:

- Wrong/stale food delivered (**outcome failure**)
- Customer complaint receives only a standard/unhelpful response (**process failure**)

Quick Comparison

Type	What fails?	Main loss
Outcome	Core service	Economic
Process	Service delivery	Social
Both	Core service + delivery	More severe

4. Locus of Responsibility ★

Definition: Customer's perception of **who is responsible for the service failure.**

Three possibilities:

1. **Service Provider** → responsible
2. **Customer** → responsible
3. **Force Majeure** → neither responsible

Effect on Tolerance

Responsibility

Customer's tolerance

Service provider responsible

Low

Customer responsible

Higher

Force majeure

High

Why?

If the provider is responsible, the customer feels **injustice.**

If an external event causes the failure, the customer is less likely to blame the provider.

5. Attribution of Stability (ATS)

Meaning: Customer's perception of whether the failure is **recurring or one-time.**

Stable vs Unstable

- **Stable = Recurring failure**
- **Unstable = One-time failure**

Perception	Tolerance
Recurring/stable	Low
One-time/unstable	High

Example:

You order 10 times and experience problems 8 times → recurring → **low tolerance.**

6. Attribution of Controllability (ATC)

Meaning: Customer's perception of whether the service provider **could have avoided or controlled the failure.**

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Failure perceived as	Example	Tolerance
Controllable	Company could have prevented it	Low
Uncontrollable	Heavy rain causes delivery delay	High

Severity = Magnitude/how serious the service failure is.

Relationship:

Higher Severity → Lower Tolerance

Even if:

- failure happens only once, and
- failure is uncontrollable,

very high severity can still make customers dissatisfied.

The lecture emphasizes that when severity is very high, even excellent recovery may not fully satisfy the customer.

Easy Memory

Can control → Low tolerance

Cannot control → High tolerance

7. Three Attribution Factors

Factor	Main Question	Low Tolerance When...
Locus of Responsibility	Who caused it?	Provider caused it
Stability (ATS)	Does it keep happening?	Recurring
Controllability (ATC)	Could it be prevented?	Controllable

Shortcut:

**Who? → How often? →
Could it be avoided?**

8. Severity of Service Failure ★

9. Availability of Alternatives

Alternatives = Choices/Options

B2C

More alternatives → easier to switch.

B2B

Fewer alternatives → harder to switch.

Therefore:

**Less availability of alternatives →
Higher tolerance to service failure**

Example:

- B2C: Nike → Adidas → Skechers → etc.
- B2B: specialized suppliers may be limited.

10. Switching Cost (SC)

Switching Cost = Cost incurred when moving from one service provider/alternative to another.

Costs can involve:

- Time

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- Energy
- Decision-making
- Finding a new supplier
- Organizational buying process

Relationship

Higher Switching Cost → Higher Tolerance to Service Failure

This is especially important in **B2B**.

11. B2C vs B2B Service Failure

Factor	B2C	B2B
Impacted party	Individual/family	Customer + customer's clients
Alternatives	More	Fewer
Switching cost	Lower	Higher
Tolerance	Generally lower	Generally higher due to fewer alternatives/high switching costs
Most salient failure	Outcome + process can be significant	Outcome failure
Spillover effect	Limited	Strong
Danger	Lower	Higher

12. Spillover Effect / Domino Effect **B2B**

Service Provider → B2B Customer → Customer's Client

A failure at one level can affect the next level.

This is called:

Negative inheritance of domino effect = Spillover effect

Why B2B failures are more dangerous?

Because:

One B2B failure can impact not only the direct customer but also that customer's customers.

13. Most Important Recovery Mechanism in B2B

For B2B service failure:

RESTORATION is the most important recovery mechanism.

Restoration means:

- Fixing the problem
- Replacement
- Finding a solution
- Restoring normal operations

Why?

Because restoration reduces the **spillover/domino effect**.

Compensation alone cannot effectively reduce the spillover.

B2B Priority:

Failure → Restoration/Fix → Prevent impact on customer's clients

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14. Most Salient B2B Service

Failure

Outcome Failure

Why?

Because outcome failure can create a **spillover effect**, affecting:

- B2B customer
- Customer's clients
- Supply chain
- Other businesses

Process failures such as small errors are comparatively less salient in B2B.

15. Why Service Failures Cannot Be Completely Avoided

Service failures cannot be completely eliminated because services are:

- **Intangible**
- **Heterogeneous**
- Therefore, experiences can vary.

Most failures are **unintentional**.

16. Role of Data Scientists ★

When a customer complains, companies should **not immediately perform recovery**.

First:

Listen → Understand incident → Identify responsibility → Analyze → Recover

Data science helps analyze:

- Customer profile
- Number of complaints
- Complaint frequency
- Repeat vs one-time incidents

- Customer behavior patterns

This helps distinguish genuine failures from repeated/problematic cases.

17. Service Recovery Paradox

Definition

Post-recovery satisfaction > satisfaction when no service failure occurred.

In simple words:

A customer experiences a failure, but the company provides **such an unexpectedly good recovery** that the customer becomes **more satisfied than they would have been without the failure**.

Example

Economy ticket → overbooking → customer upgraded to **Business Class**.

Failure occurred, but recovery created very high satisfaction.

Should companies deliberately aim for it?

No.

Why?

Because excessive recovery is expensive, and continuously providing costly recovery can harm company profitability.

18. Service Quality — SERVQUAL

Services are evaluated using **Service Quality**.

The lecture refers to **SERVQUAL** and identifies **5 dimensions**.

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5 Dimensions — RRAET

Dimension	Meaning
Reliability	Ability to provide dependable/consistent service
Responsiveness	Willingness/ability to respond to customers
Assurance	Confidence/trust that the provider is capable/authentic
Empathy	Understanding and caring about customer's problem
Tangibles	Physical/visible signals of service quality

Memory Trick:

R R A E T

Reliability
Responsiveness
Assurance
Empathy
Tangibles

19. Zone of Tolerance as Benchmarking Tool

A company's service score alone does **not** tell us whether service quality is actually good.

We need:

Minimum acceptable level ← Zone of Tolerance → Maximum/Desired level

Example:

- Company's reliability score = 8

- Minimum acceptable = **8.3**
- Desired/maximum = **9.5**

Although **8 sounds good**, it is actually **below the acceptable level**. Therefore, Zone of Tolerance can be used as a **benchmarking tool**.

FINAL EXAM CHEAT SHEET

Service Failure Types

Outcome → Core service fails →

Economic loss

Process → Delivery process fails →

Social loss

Both → Outcome + Process → **More severe**

Attribution

Locus → Who is responsible?

Stability → One-time or recurring?

Controllability → Could it be avoided?

Tolerance

Provider responsible ↓ → Low tolerance

Customer responsible ↑ → Higher tolerance

Force majeure ↑ → High tolerance

Recurring failure ↓ → Low tolerance

One-time failure ↑ → High tolerance

Controllable failure ↓ → Low tolerance

Uncontrollable failure ↑ → High tolerance

High severity ↓ → Low tolerance

Fewer alternatives ↑ → Higher tolerance

Business Data Management (Part - 6)

Higher switching cost ↑ → Higher tolerance

B2B

B2B failure → **Customer affected** →

Customer's clients affected →

Spillover/Domino effect

Most salient: Outcome failure

Most important recovery:

Restoration

Service Recovery Paradox

Post-recovery satisfaction > No-failure satisfaction

SERVQUAL

RRAET = Reliability +

Responsiveness + Assurance +

Empathy + Tangibles

Other important terms to remember

- **Outcome Failure** → Failure of the core service; can cause **economic loss**.
- **Process Failure** → Deficiency in service delivery; can cause **social loss**.
- **Spillover Effect** → Negative impact passed from one business/customer to another through the **domino effect**.
- **Double Deviation** → A **second service failure** occurring during/after an attempted recovery.
- **Service Recovery Paradox** → Post-recovery satisfaction is **greater than satisfaction when no failure occurred**.
- **Force Majeure** → External circumstances beyond the control of both customer and service provider.
- **Frontline Employees** → Customer-facing employees who directly interact with customers.

Short Form	Full Form
B2B	Business-to-Business
B2C	Business-to-Consumer
DJ	Distributive Justice
PJ	Procedural Justice
IJ	Interactional Justice
ZOT	Zone of Tolerance
ATS	Attribution of Stability
ATC	Attribution of Controllability
LO / LOR	Locus of Responsibility
SC	Switching Cost
SEV	Severity
SERVQUAL	Service Quality
WOM	Word of Mouth
SP	Service Provider